

But again, the safe, conservative investment turned out to be catastrophic. In 1979, Paul Volcker took the job of head of the U.S. Federal Reserve system. He vowed to stop inflation. At first, investors didn't believe him. They continued to sell bonds and buy gold. But "Tall Paul" meant business. By the summer of 1983, inflation was going down and bonds were going up. Those "certificates of guaranteed confiscation" actually outperformed all other major assets categories over the next 27 years. As interest rates came down, bonds went up. As for gold, from over \$800 at the beginning of the 1980s, gold lost more than \$500 over the next 18 years. Adjusted for inflation, it lost about 80 percent. Far from being a refuge, gold turned out to be a speculation—and a bad one.

Meanwhile, researchers were able to *prove* that stocks were not any riskier than bonds and that you got paid a "risk premium" for owning stocks without actually taking on any additional risk.

This idea was common knowledge in the 1990s, leading investors to their next ditch. While gold went down, investors piled into stocks as never before. By 1999, the stock market had reached an all-time high, and investors believed that they could not lose money by buying stocks. *Stocks for the Long Run* was the title of a popular book. *Dow 36,000* was another.

So what happened? Well, in 2000, the tech sector crashed, and over the next 10 years, the stock market had its worst decade since the 1930s—with negative real returns for the 10-year period.

By the end of the twentieth century, "safe, conservative" investments had blown up three times. Stocks went bust in 1929. Bonds went bad after World War II. And gold went bust after 1983. And then, at the end of the century, stocks went bust again—with no gain to stock market investors over the last 11 years.

So what do wealth advisors tell the rich to do now? What are the "safe, conservative" investments favored by the pros?

U.S. Treasury bonds! And who knows? While the Great Correction drags along, bonds may remain a good investment. For six months. For a year. Maybe even five years. But if your goal is to build and protect family wealth over longer than a single generation, bonds will be a disaster. Sometime in the years ahead, they will blow up. (More in Chapter 6.) If you're trying to build or protect a family fortune, stay away.